

D363

Personal Finance

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A nurse earns \$5,200 a month after tax. Her essential monthly expenses — rent, food, insurance and minimum debt payments — total \$3,000, and she spends another \$800 on dining out and streaming. She drives a 2019 hatchback and just got a raise. Using the 3-6 month guideline, what emergency fund range fits?

- A. \$15,600 to \$31,200
- B. Exactly \$18,000; nothing less is acceptable
- C. \$9,000 to \$18,000
- D. \$11,400 to \$22,800

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A couple owns a home worth \$320,000 with a \$250,000 mortgage, has \$15,000 in savings, a car worth \$18,000 with a \$12,000 loan, and \$6,000 of credit card debt. Their combined income is \$110,000 a year, and they are planning a trip to Italy. What is their net worth?

- A. \$85,000
- B. \$195,000
- C. \$353,000
- D. \$621,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

A person has a net worth of \$40,000 and total liabilities of \$65,000. What are total assets?

- A. \$40,000
- B. \$105,000
- C. \$25,000
- D. It cannot be known without income.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A borrower has two credit cards. Card A has a \$5,000 limit and a \$2,000 balance; Card B has a \$15,000 limit and a \$1,000 balance. She has never missed a payment and has had Card A for 12 years. What is her overall credit utilization?

- A. 15%
- B. 23.3%
- C. 85%
- D. 40%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

A borrower has \$24,000 in total credit limits and wants utilization at or below 10%. What is the highest total balance she can carry?

- A. \$0; any balance hurts a score
- B. \$240,000
- C. \$21,600
- D. \$2,400

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A 30-year-old invests \$10,000 in a broad index fund she expects to earn 8% a year. She works as a pharmacist and also has a 401(k) at work. Using the rule of 72, about how long until the investment doubles?

- A. About 9 years
- B. 12.5 years
- C. It never doubles unless she adds money.
- D. 30 years

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

An investor wants money to double in 6 years. Using the rule of 72, what annual return is needed?

- A.** 16.7%
- B.** 12%
- C.** 6%
- D.** 432%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A 24-year-old teacher is in the 12% federal tax bracket now and expects to be in the 22% bracket in retirement. Her school district is in Oregon and offers a pension. She can contribute to either a Roth or a traditional account with the same funds. Which is generally better for her?

- A.** Roth, because Roth accounts always beat traditional ones.
- B.** Roth: pay tax now at 12% and withdraw tax-free later.
- C.** Traditional, because the pension means she needs no other savings.
- D.** Traditional: take the deduction now.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A family's home is in a flood zone. They buy flood insurance priced at \$1,100 a year with a \$2,000 deductible. Their home has a new roof and solar panels. Which strategy is buying the policy, and which is the deductible?

- A.** Retention; transfer
- B.** Reduction; transfer
- C.** Avoidance; reduction
- D.** Transfer; retention

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A couple has gross income of \$9,000 a month and take-home pay of \$6,800. They have a car loan of \$450 a month and two dogs. Using the 28% front-end guideline, what is the most they should spend on monthly housing?

- A.** \$3,240
- B.** \$2,070
- C.** \$2,520
- D.** \$1,904

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

11. [TRANSFER — reversed stem / different variable]

A buyer wants a \$2,100 monthly housing payment and follows the 28% guideline. What gross monthly income does she need?

- A.** \$588
- B.** \$5,833
- C.** \$7,500
- D.** \$2,688

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

12.

A widower's will, updated last year, leaves everything to his two children. His 401(k), worth \$400,000, still names his sister as beneficiary on a form he filled out 20 years ago. He collected antique clocks and lived in Maine. Who receives the 401(k)?

- A.** Split between the sister and the children.
- B.** His estate through probate, because all assets go through probate.
- C.** His children, because the will is newer.
- D.** His sister, because the beneficiary form passes outside the will.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

A nurse earns \$5,200 a month after tax. Her essential monthly expenses — rent, food, insurance and minimum debt payments — total \$3,000, and she spends another \$800 on dining out and streaming. ~~She drives a 2019 hatchback and just got a raise.~~ Using the 3–6 month guideline, what emergency fund range fits?

Target word: fund range **Decides:** Base it on essential expenses: \$3,000 a month.

A	Wrong stem number	Uses take-home pay instead of essential expenses.
B	Absolute language	The guideline is a range fitted to job stability and needs.
C	Correct	$3 \times \$3,000$ to $6 \times \$3,000$.
D	Adjacent category	Includes discretionary spending that can be cut in an emergency.

2. Answer A Concept 2

A couple owns a home worth \$320,000 with a \$250,000 mortgage, has \$15,000 in savings, a car worth \$18,000 with a \$12,000 loan, and \$6,000 of credit card debt. ~~Their combined income is \$110,000 a year, and they are planning a trip to Italy.~~ What is their net worth?

Target word: net worth **Decides:** Assets \$353,000; liabilities \$268,000.

A	Correct	$\$353,000 - \$268,000 = \$85,000$.
B	Camouflage	Adds annual income, which is not an asset on the balance sheet.
C	Dropped element	Total assets; debts are left out.
D	Inverted operation	Adds liabilities instead of subtracting them.

3. Answer B Concept 2 • transfer

A person has a net worth of \$40,000 and total liabilities of \$65,000. What are total assets?

Target word: solve for assets **Decides:** Assets = net worth + liabilities.

A	Wrong stem number	The net worth figure.
B	Correct	$\$40,000 + \$65,000$.
C	Inverted operation	Subtracts instead of adding.
D	Adjacent category	Income is a cash-flow item, not needed here.

4. Answer A Concept 3

A borrower has two credit cards. Card A has a \$5,000 limit and a \$2,000 balance; Card B has a \$15,000 limit and a \$1,000 balance. ~~She has never missed a payment and has had Card A for 12 years.~~ What is her overall credit utilization?

Target word: overall utilization **Decides:** Total balances $\$3,000 \div$ total limits $\$20,000$.

A	Correct	$\$3,000 \div \$20,000 = 15\%$.
B	Adjacent category	Averages the two card ratios (40% and 6.7%) instead of pooling.
C	Inverted operation	Share of credit still available.
D	Dropped element	Card A only.

5. Answer D Concept 3 • transfer

A borrower has \$24,000 in total credit limits and wants utilization at or below 10%. What is the highest total balance she can carry?

Target word: solve for balance **Decides:** Balance = 10% × limits.

A	Absolute language	Low, not zero, utilization is the goal.
B	Inverted operation	Divides by 10% instead of multiplying.
C	Adjacent category	Available credit left at 10% use.
D	Correct	$0.10 \times \$24,000$.

6. Answer A Concept 4

A 30-year-old invests \$10,000 in a broad index fund she expects to earn 8% a year. ~~She works as a pharmacist and also has a 401(k) at work.~~ Using the rule of 72, about how long until the investment doubles?

Target word: doubling time **Decides:** $72 \div 8$.

A	Correct	$72 \div 8 = 9$.
B	Adjacent category	$100 \div 8$ is simple interest, which ignores compounding.
C	Absolute language	Compounding alone doubles it.
D	Camouflage	Her age, not a doubling time.

7. Answer B Concept 4 • transfer

An investor wants money to double in 6 years. Using the rule of 72, what annual return is needed?

Target word: solve for rate **Decides:** $72 \div 6$.

A	Adjacent category	$100 \div 6$ is simple interest, which ignores compounding.
B	Correct	$72 \div 6 = 12$.
C	Wrong stem number	The number of years.
D	Inverted operation	Multiplies instead of dividing.

8. Answer B Concept 5

A 24-year-old teacher is in the 12% federal tax bracket now and expects to be in the 22% bracket in retirement. ~~Her school district is in Oregon and offers a pension.~~ She can contribute to either a Roth or a traditional account with the same funds. Which is generally better for her?

Target word: account type **Decides:** Current rate lower than expected future rate.

A	Absolute language	It depends on current vs. future tax rates.
B	Correct	Paying at the lower rate now beats paying 22% later.
C	Camouflage	The pension does not change the tax comparison.
D	Inverted operation	Best when today's rate is higher than the future rate.

9. Answer D Concept 6

A family's home is in a flood zone. They buy flood insurance priced at \$1,100 a year with a \$2,000 deductible. ~~Their home has a new roof and solar panels.~~ Which strategy is buying the policy, and which is the deductible?

Target word: name both strategies **Decides:** The insurer takes the loss; the family keeps the first \$2,000.

A	Inverted operation	Swaps the two.
B	Adjacent category	Insurance does not make floods less likely or less severe.
C	Confusion set	Avoidance would be not living in the flood zone.
D	Correct	The policy shifts loss to the insurer; the deductible is risk kept.

10. Answer C Concept 7

A couple has gross income of \$9,000 a month and take-home pay of \$6,800. ~~They have a car loan of \$450 a month and two dogs.~~ Using the 28% front-end guideline, what is the most they should spend on monthly housing?

Target word: maximum housing cost **Decides:** 28% of gross income.

A	Confusion set	36% is the total-debt limit, not housing alone.
B	Camouflage	Subtracts the car loan, which belongs to the 36% back-end test.
C	Correct	$0.28 \times \$9,000$.
D	Wrong stem number	Uses take-home pay.

11. Answer C Concept 7 • transfer

A buyer wants a \$2,100 monthly housing payment and follows the 28% guideline. What gross monthly income does she need?

Target word: solve for income **Decides:** $\text{Income} = \text{payment} \div 0.28$.

A	Inverted operation	Multiplies by 28%.
B	Confusion set	Uses the 36% limit.
C	Correct	$\$2,100 \div 0.28$.
D	Inverted operation	Adds 28% to the payment rather than dividing by 28%.

12. Answer D Concept 8

A widower's will, updated last year, leaves everything to his two children. His 401(k), worth \$400,000, still names his sister as beneficiary on a form he filled out 20 years ago. ~~He collected antique clocks and lived in Maine.~~ Who receives the 401(k)?

Target word: who gets the account **Decides:** The beneficiary designation controls the 401(k).

A	Adjacent category	No rule splits it.
B	Absolute language	Assets with a named beneficiary skip probate.
C	Inverted operation	The will does not control assets with a named beneficiary.
D	Correct	Designations override the will.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	2	
Wrong stem number	A figure copied from the prompt that is not the answer.	4	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	10	
Absolute language	Always, never, guarantee — where judgment applies.	5	
Confusion set	Every option is real; the test is exact role-matching.	3	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Emergency fund sizing	Hold about 3–6 months of essential expenses, not income or total spending.	Basing the fund on take-home pay or including discretionary spending.	Income, essential costs and extras all in one stem.
2	Net worth	Net worth = total assets – total liabilities; income is not part of it.	Adding income, or adding debts to assets.	A list of things owned and owed, plus an income figure.
3	Credit utilization	Utilization = total revolving balances ÷ total credit limits; lower is better, and it is only one score factor.	Averaging each card's ratio, or using one card.	Several cards with limits and balances.
4	Compounding and the rule of 72	Years to double $\approx 72 \div$ annual rate; rate needed $\approx 72 \div$ years.	Using simple interest ($100 \div$ rate).	A return rate and the word double.
5	Roth vs. traditional accounts	Roth: pay tax now, withdraw tax-free; traditional: deduct now, pay tax later. Choose Roth when you expect a higher rate later.	Always picking the upfront deduction.	Current bracket vs. expected retirement bracket.
6	Risk-management strategies	Avoid, reduce, retain, or transfer; buying insurance transfers risk, and a deductible is retained risk.	Calling insurance risk reduction.	A policy with a deductible.
7	Housing affordability guideline	Keep housing costs at or below about 28% of gross monthly income (and total debt at or below about 36%).	Using take-home pay, or applying 36% to housing alone.	Gross and net income plus other debts.
8	Beneficiary designations override the will	Retirement accounts and life insurance pass to the named beneficiary outside the will and probate.	Assuming a newer will controls every asset.	A will and an old beneficiary form that disagree.

Course scope (public description): Personal Finance provides learners with an introduction to the discipline of finance from the perspective of the person, or family, rather than from the viewpoint of a business. In this course, learners will gain an understanding of financial literacy concepts, including personal budgeting and how to apply financial principles to achieve personal financial goals. Learners will identify various strategies to manage risks, to enhance postretirement income, and to accumulate and transfer wealth. Topics include record keeping, credit principles, cash flow, investment philosophy, monetary asset management, housing, and estate planning. This course provides learners with a general overview of personal finance and acts as a preview course for the finance major. There are no prerequisites for this course.